# AIR INDIA'S JUMBO DEAL

**In what is claimed to be the biggest aircraft purchase in aviation history, the carrier has announced two deals worth $70 billion to acquire 470 aircraft from Boeing and Airbus**




**ON February 14, Air India announced it had signed letters of intent to acquire 470 new aircraft: 220 from US-based Boeing and another 250 from Europe-based Airbus. These are a mix of wide-body and single-aisle aircraft to serve on its long-haul and short-journey trips, respectively**

### PRICE TAG

Sources peg the total cost at about $70 billion. While reports say the Boeing purchases will cost Air India about $34 billion, Airbus has so far declined to comment on the price tag

### DELIVERY

Air India says the first of the new aircraft are expected to enter service toward the end of this year, with the bulk of deliveries scheduled for mid-2025 onward. For the moment, it has begun taking delivery of 11 leased B777s and 25 A320s

### POWER PROPOSITION

According to Air India, its new Airbus A350s will be powered by Rolls-Royce engines, while its Boeing 777s/787s will have GE Aerospace engines. All its new single-aisle aircraft will be powered by engines from CFM International, a joint venture between GE Aviation and Safran Aircraft Engines

### DID YOU KNOW?

Air India has also announced plans to refit its existing wide-body aircraft (Boeing 787 and 777s) with new seats and inflight entertainment systems. These steps are part of the carrier's Vihaan.AI initiative, aimed at dramatically growing its network and fleet

*Graphic by* TANMOY CHAKRABORTY

seen in 2019. IndiGo carried 680,000 passengers on its international flights in September 2022, and Air India 534,000, per DGCA data.

Almost every carrier in India is expected to order more aircraft in the next couple of years, for fleet replacement as well as growth. But the spoilsport could be the delays in aircraft delivery. In some cases, airframes got ready, but engines were not available due to supply chain issues. Airbus and Boeing together had 12,669 unfulfilled orders as on December 31, 2022.

The acquisition of new aircraft, which will come with an entirely new cabin interior, complements Air India's previously announced plan to refit its existing wide-body B787 and B777 aircraft with new seats and inflight entertainment systems. The first of these refitted aircraft will enter service in mid-2024, the airline said.

The Air India Group comprises the full-service Air India, as well as two low-cost subsidiaries, Air India Express and Air Asia India, which are in a merger process. Tata Sons had recently announced its intention to merge Air India with full-service airline Vistara, a joint venture between Tata Sons and Singapore Airlines in which the former holds a 51 per cent share. It was a homecoming of sorts for Air India last year since the airline was originally founded as Tata Airlines in 1930 by J.R.D. Tata, who later became chairman of Tata Sons from 1938 to 1988. However, the Tatas lost control of the airline after it was nationalised in June 1953.

Despite a revival of the airline sector from the crisis it faced during the pandemic, it will still go through a lot of turbulence, making Air India's plans for resurgence a lot tougher. In its mid-year outlook for FY23, CAPA said the aviation industry is likely to face various challenges like high fuel prices, currency depreciation, rising interest rates, geopolitical tensions and recessionary conditions in various countries. The next 12 months could be particularly challenging and airline losses could exceed $2.5 billion (Rs 20,718 crore), it said. ■